

which have a fat left tail and negative skew.

9. Mandelbrot gained prominence later outside of finance for his work with fractal geometry.
10. See Lowenstein (2000), p. 236.
11. Heilbroner is author of *The Worldly Philosophers: The Lives, Times, and Ideas of the Great Economic Thinkers*, which is the second bestselling economics text of all time, just behind Samuelson's *Economics*.
12. See <http://icifactbook.org/>.

CHAPTER 4

1. Both norepinephrine and cortisol prepare the body for the fight-or-flight response to danger. For more on this, see Zweig (2007).
2. See also “A Survey of Behavioral Finance,” by Barberis and Thaler (2002).
3. See Fox (2009), p. 298.

CHAPTER 5

1. See Dimson, Marsh, and Stauton (2014).
2. Non-U.S. long-term government bonds had an annualized real return of 1.6%, versus 4.5% for non-U.S. equities from 1900 through 2013, as per Dimson et al. (2014).
3. Available from Morningstar, Inc.
4. See Siegel (2014).
5. See Dimson et al. (2014).
6. See <http://www.econ.yale.edu/~shiller/data.htm>.
7. My paper “Absolute Momentum: A Simple Rule-Based Strategy and Universal Trend-Following Overlay,” is included in this book as [Appendix B](#). It includes a risk parity approach using only a 40%